



INNIO Group – Enerflex Aftermarket Services

MN-80021

Phase 1 Determination

Acquisition may be put into effect

27 July 2026

1. Determination and statement of reasons

Notified acquisition	INNIO Group's (INNIO) proposed acquisition of 100% of the share capital in Enerflex Service Pty Limited (Enerflex Service), which provides aftermarket services (spare parts, repair and maintenance) for gas compression and energy infrastructure (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	INNIO Holding GmbH (INNIO Holding), through its wholly owned subsidiaries INNIO Jenbacher International B.V. and INNIO Jenbacher Netherlands B.V. (together with their affiliates, the INNIO Group) proposes to acquire 100% of the share capital in Enerflex Service Pty Limited (Enerflex Service). INNIO Group is a global manufacturer of gas power units under the Jenbacher and Waukesha brands. INNIO Group manufactures gas power units and genuine spare parts at its facilities (primarily in Austria for Jenbacher, and the United States and Canada for Waukesha) and supplies these globally through distributors, including in Australia. The target, Enerflex Service is an indirect, wholly owned subsidiary of Enerflex Ltd (together with all its subsidiaries, Enerflex Group). Enerflex Service is an aftermarket services provider for energy infrastructure operators in Australia. It provides maintenance, repair, replacement of spare parts, field services, retrofits, and the supply of gas power units (new and refurbished as replacements) as part of their aftermarket services for a wide variety of gas compression and power generation units and other related equipment, such as compressor units and electric motors.
Overlap and relationship between the parties	The parties have a vertical relationship. Enerflex Service supplies aftermarket services for Waukesha gas power units to owners and operators of such units, and sources Waukesha spare parts and gas power units from INNIO for owners and operators of such units. INNIO does not provide aftermarket services and has no direct sales of Waukesha spare parts or power units to Australia, and Enerflex Australia does not manufacture power units.
Reasons for determination	When making a determination in Phase 1, the Australian Competition and Consumer Commission (ACCC) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the

	notification form information from third parties, including submissions expressing concerns that the Acquisition would lead to reduced competitive tension in the supply of Waukesha spare parts and/or foreclosure of rival aftermarket service suppliers who rely on access to Waukesha spare parts. The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition is unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings: • There is no horizontal overlap between INNIO and Enerflex Service. INNIO does not provide aftermarket services and has no direct sales of Waukesha spare parts or power units to Australia and Enerflex Service does not manufacture power units. • There are a number of other OEM gas unit suppliers and aftermarket service suppliers in Australia that compete in the supply of gas compression power units and aftermarket services for gas compression power units respectively. • INNIO is unlikely to have requisite market power in downstream aftermarket services markets or upstream OEM gas unit markets to have the ability to foreclose its upstream or downstream competitors by raising prices or reducing service with respect to the supply of Waukesha spare parts or aftermarket services to competitors.
Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by Commissioner Williams pursuant to a delegation under section 25(1) of the Act